

Building an Anti-Financial Crime Compliance Program

Domain C Complete Q&A Review

Understanding the *Regulatory Principles* Behind Each Answer

Compliance Training Department _____

Agenda Domain C Topics

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2. Three Lines of Defense Roles and Responsibilities (Q5-Q8)
3. Risk Appetite Statement (RAS) (Q9-Q12)
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Q1: Core Pillars of an AFC Program

Topic: Effective AFC Program and Core Pillars

What are the core pillars of an effective AML/CFT compliance program under the US Bank Secrecy Act?

Correct Answer: Internal controls, designated compliance officer, employee training, independent testing, and CDD (including beneficial ownership) the five pillars.

Core Concept: The **BSA Five Pillars** (original four plus CDD Rule):

Pillar 1: Internal controls policies, procedures, and systems.

Pillar 2: Designated compliance officer (BSA Officer/MLRO).

Pillar 3: Ongoing employee training.

Pillar 4: Independent testing/audit.

Pillar 5: Customer Due Diligence (including beneficial ownership) added 2016.

✗ **Common Trap:** "Only four pillars" INCORRECT. The CDD Rule added a fifth pillar in 2016.

Key Insight: All five pillars are **required** by the BSA. Regulators expect each to be implemented effectively.

Q2: What Makes a Compliance Program Effective

Topic: Effective Compliance Program

What makes an AML/CFT compliance program effective?

Correct Answer: A risk-based approach, clear accountability, adequate resources, and continuous monitoring and improvement.

Core Concept: Key success factors:

Risk-Based: Tailored to the institution's risk profile.

Accountability: Clear roles and responsibilities.

Resources: Adequate people, systems, and budget.

Continuous Improvement: Regular review and updates.

Tone from the Top: Senior management commitment.

✗ **Common Trap:** "Having written policies is enough" **INCORRECT.** Effective programs must be **implemented and operational.**

Key Insight: Regulators look for **effectiveness**, not just technical compliance.

Q3: Compliance Program Resources

Topic: Compliance Resources

What resources are needed for an effective AFC compliance program?

Correct Answer: Adequate staffing, appropriate technology systems, sufficient budget, and access to information.

Key Insight: Under-resourced programs are a common regulatory finding.

Q4: Tone from the Top

Topic: Tone from the Top

Why is "tone from the top" important for an AFC program?

Correct Answer: Senior management commitment sets the cultural tone and demonstrates that compliance is a priority across the organization.

Key Insight: Without tone from the top, **compliance culture** cannot take root.

Q5: Three Lines of Defense Overview

Topic: Three Lines of Defense

What are the three lines of defense in AML/CFT compliance?

Correct Answer: First line: Operational management (business units); Second line: Compliance and risk management (oversight); Third line: Internal audit (independent assurance).

Core Concept:

First Line: Business units identify, assess, and control risks.

Second Line: AML compliance provides oversight and challenges the first line.

Third Line: Internal audit provides independent assurance.

✗ **Common Trap:** "Compliance is the first line of defense" INCORRECT. The first line is **operational management**, not compliance.

Key Insight: The three lines must operate **independently but collaboratively**.

Q6: First Line Responsibilities

Topic: First Line Responsibilities

What are the responsibilities of the first line of defense in AML/CFT?

Correct Answer: Implementing AML controls in day-to-day operations, conducting CDD, identifying suspicious activity, and escalating concerns.

Key Insight: The first line **owns** the risk and **implements** controls.

Q7: Second Line Responsibilities

Topic: Second Line Responsibilities

What are the responsibilities of the second line of defense?

Correct Answer: Overseeing and challenging the first line, developing AML policies, conducting risk assessments, and filing SARs.

Key Insight: The second line **oversees** and **challenges** it does not replace the first line.

Q8: Third Line Responsibilities

Topic: Third Line Responsibilities

What are the responsibilities of the third line of defense?

Correct Answer: Providing independent assurance by auditing the effectiveness of the first and second lines.

✗ **Common Trap:** "Audit should design controls" INCORRECT. Audit **cannot** design controls it later tests (independence violation).

Key Insight: The third line must have **direct access** to the board.

Q9: Risk Appetite Statement Purpose

Topic: Risk Appetite Statement

What is the purpose of a Risk Appetite Statement (RAS) in AML/CFT?

Correct Answer: To define the level of risk the organization is willing to accept in pursuit of its business objectives, guiding decision-making and resource allocation.

Core Concept: RAS components:

Strategic: Aligns risk-taking with business strategy.

Qualitative: Describes risk tolerance in words.

Quantitative: Sets numerical limits where appropriate.

Communicated: Clearly articulated to all stakeholders.

Key Insight: The RAS sets the **boundaries** for risk-taking in the organization.

Q10: Defining a RAS

Topic: Defining a RAS

How should a Risk Appetite Statement be defined?

Correct Answer: Through consultation with the board, senior management, and risk owners, based on the institution's risk assessment and strategic objectives.

Key Insight: The RAS should be **approved by the board**.

Q11: Communicating the RAS

Topic: Communicating the RAS

How should a RAS be communicated in the organization?

Correct Answer: Through training, policy documents, and management communications to ensure all employees understand the organization's risk tolerance.

Key Insight: Communication ensures the RAS is **operationalized**.

Q12: Implementing Controls Based on RAS

Topic: Controls and RAS

How does the RAS inform control design?

Correct Answer: Controls should be designed to ensure risk-taking remains within the defined appetite, with escalation for exceptions.

Key Insight: The RAS is the **foundation** for control design.

Q13: Enterprise Risk Assessment Overview

Topic: Enterprise Risk Assessment

What is an Enterprise-Wide Risk Assessment (EWRA)?

Correct Answer: A comprehensive assessment of the organization's ML/TF, sanctions, fraud, ABC, and tax evasion risks across all business lines and geographies.

Core Concept: EWRA components:

Inherent Risk: Risk before controls.

Controls: Measures to mitigate risk.

Residual Risk: Risk after controls.

Risk Assessment: Evaluation of inherent and residual risk.

Key Insight: Under **FATF Recommendation 1**, institutions must conduct an EWRA.

Q14: Identifying Inherent Risk

Topic: Inherent Risk

How is inherent risk identified in an EWRA?

Correct Answer: By assessing the institution's products, services, customers, geographies, and channels without considering controls.

Key Insight: Inherent risk is the **starting point** for the risk assessment.

Q15: Controls and Residual Risk

Topic: Residual Risk

How is residual risk assessed?

Correct Answer: By evaluating the effectiveness of controls in mitigating inherent risk and determining the remaining risk exposure.

Key Insight: Residual risk must be **within the RAS**.

Q16: Updating the EWRA

Topic: EWRA Updates

When should the EWRA be updated?

Correct Answer: At least annually, and when there are significant changes to the business, regulatory landscape, or risk environment.

Key Insight: The EWRA should be a **living document**.

Q17: Risk-Based Approach Definition

Topic: Risk-Based Approach

What is the risk-based approach in AML/CFT?

Correct Answer: Allocating resources and applying controls proportionately to the level of ML/TF risk identified.

Core Concept: RBA principles:

Proportionality: Controls match risk level.

Resource Allocation: Focus on highest risks.

Flexibility: Adapt to changing risks.

Justification: Document risk-based decisions.

✗ **Common Trap:** "Risk-based approach means doing less compliance" INCORRECT. It means **targeting** resources where they are most needed.

Key Insight: FATF Recommendation 1 establishes the RBA as the foundation of AML/CFT.

Q18: Building Controls Commensurate with Risks

Topic: Controls and RBA

How should controls be designed under the risk-based approach?

Correct Answer: Controls should be proportionate to the risk level stronger controls for higher-risk activities, streamlined controls for lower-risk activities.

Key Insight: Proportionality is the core of the RBA.

Q19: Risk Assessment Frequency

Topic: Risk Assessment Frequency

How often should risk assessments be conducted?

Correct Answer: Regularly (at least annually), and when there are significant changes in the business or regulatory environment.

Key Insight: Continuous monitoring is also required.

Q20: Documenting Risk-Based Decisions

Topic: Documentation

Why is it important to document risk-based decisions?

Correct Answer: To demonstrate to regulators that the institution has considered risks and applied proportionate controls.

Key Insight: Documentation provides **evidence** of compliance.

Q21: Policies vs Standards vs Procedures

Topic: Policies, Standards, Procedures

What is the difference between policies, standards, and procedures in AML/CFT?

Correct Answer: Policies are high-level principles; standards are mandatory requirements; procedures are step-by-step instructions for implementation.

Core Concept:

Policy: "What" high-level principles and commitments.

Standard: "What must be done" mandatory requirements.

Procedure: "How" step-by-step instructions.

Key Insight: All three are **necessary** for effective implementation.

Q22: What Policies Should Contain

Topic: Policy Content

What should AML/CFT policies contain?

Correct Answer: Purpose, scope, roles and responsibilities, risk assessment approach, control requirements, and reporting/escalation procedures.

Key Insight: Policies should be **approved by senior management**.

Q23: Standards in AML/CFT

Topic: Standards

What are standards in the AML/CFT context?

Correct Answer: Mandatory requirements that must be met to comply with policies (e.g., CDD standards, transaction monitoring thresholds).

Key Insight: Standards are **measurable** and **enforceable**.

Q24: Procedures in AML/CFT

Topic: Procedures

What are procedures in the AML/CFT context?

Correct Answer: Detailed, step-by-step instructions for how to implement policies and standards in day-to-day operations.

Key Insight: Procedures should be **clear** and **accessible**.

Q25: Reviewing Regulatory Guidance

Topic: Regulatory Guidance

Why should institutions review regulatory guidance when drafting policies?

Correct Answer: To ensure policies align with regulatory expectations and incorporate the latest requirements.

Key Insight: Regulatory guidance provides **clarity** on expectations.

Q26: Horizon Scanning

Topic: Horizon Scanning

What is horizon scanning in AML/CFT?

Correct Answer: The process of identifying and anticipating emerging regulatory, technological, and criminal trends that may impact the institution.

Key Insight: Horizon scanning helps institutions **prepare** for future changes.

Q27: Incorporating Industry Best Practices

Topic: Best Practices

Why should institutions incorporate industry best practices?

Correct Answer: To enhance the effectiveness of the compliance program and meet regulatory expectations.

Key Insight: Regulators often reference industry best practices as benchmarks.

Q28: Sources of Guidance

Topic: Guidance Sources

What are sources of regulatory guidance for AML/CFT?

Correct Answer: FATF Recommendations, national regulators (FinCEN, FCA), FSRBs, and industry bodies (Wolfsberg Group, Basel Committee).

Key Insight: Use **multiple sources** for comprehensive guidance.

Q29: Governing Committees Purpose

Topic: Governing Committees

What is the purpose of governing committees in AML/CFT?

Correct Answer: To provide oversight, make decisions on risk acceptance, and ensure the compliance program is effective.

Key Insight: Committees provide **accountability** and **decision-making**.

Q30: Committee Structure

Topic: Committee Structure

What should the structure of governing committees include?

Correct Answer: Clear terms of reference, defined membership, regular meetings, and documented decisions.

Key Insight: Committees should have **terms of reference** that define their authority.

Q31: Committee Decision Making

Topic: Committee Decisions

What decisions should governing committees make?

Correct Answer: Risk acceptance, policy approvals, escalation decisions, and oversight of the compliance program.

Key Insight: Major decisions should be **escalated** to the committee.

Q32: Committee Documentation

Topic: Committee Documentation

Why is committee documentation important?

Correct Answer: To provide an audit trail of decisions and demonstrate oversight.

Key Insight: Minutes should be recorded for all committee meetings.

Q33: KPIs vs KRIs

Topic: KPIs and KRIs

What is the difference between KPIs and KRIs in AML/CFT?

Correct Answer: KPIs measure performance (e.g., alerts reviewed), while KRIs measure risk exposure (e.g., number of high-risk customers).

Core Concept:

KPI (Key Performance Indicator): Measures effectiveness and efficiency.

KRI (Key Risk Indicator): Measures risk exposure and trends.

Key Insight: Both are needed for comprehensive management reporting.

Q34: Management Reporting Information

Topic: Management Reporting

What information should be included in management reporting?

Correct Answer: KPI/KRI trends, emerging risks, regulatory changes, audit findings, and material incidents.

Key Insight: Reports should be **regular**, **clear**, and **actionable**.

Q35: Emerging Risk Reporting

Topic: Emerging Risks

How should emerging financial crime risks be reported?

Correct Answer: Through regular horizon scanning reports and ad-hoc updates to management and the board.

Key Insight: Emerging risks should be **escalated** promptly.

Q36: Board Oversight Information

Topic: Board Reporting

What information should be provided to the board?

Correct Answer: Overall program effectiveness, significant risks, regulatory issues, and compliance with the RAS.

Key Insight: The board needs **strategic** reporting, not just operational details.

Q37: STR Filing Requirements

Topic: FC Reporting

What is a Suspicious Activity Report (SAR) filing requirement?

Correct Answer: Financial institutions must file SARs when they suspect money laundering, terrorist financing, or other financial crimes.

Key Insight: Under **FATF Recommendation 20**, suspicious transactions must be reported.

Q38: Jurisdictional Reporting Differences

Topic: Jurisdictional Differences

How do reporting requirements differ across jurisdictions?

Correct Answer: Different thresholds, reporting formats, filing deadlines, and competent authorities (e.g., FinCEN in US, NCA in UK).

Key Insight: Global institutions must comply with **multiple** reporting regimes.

Q39: Currency Transaction Reporting

Topic: CTR

What is a Currency Transaction Report (CTR)?

Correct Answer: A report filed for cash transactions exceeding a threshold (e.g., \$10,000 in the US).

Key Insight: CTRs are separate from SARs and have different thresholds.

Q40: Reporting Timelines

Topic: Reporting Timelines

What are typical reporting timelines for SARs?

Correct Answer: Generally 15-30 days from detection, or immediately for urgent cases.

Key Insight: Timely reporting is a regulatory expectation.

Q41: Operational Risk and AFC

Topic: Operational Risk

How does operational risk relate to AFC compliance?

Correct Answer: AFC failures are operational risk events that can result in financial loss, regulatory penalties, and reputational damage.

Key Insight: AFC is a subset of **operational risk**.

Q42: Financial Risk and AFC

Topic: Financial Risk

How does financial risk relate to AFC compliance?

Correct Answer: AFC failures can cause direct financial losses through fines, penalties, and asset seizures.

Key Insight: Financial risk includes **regulatory** and **reputational** components.

Q43: Non-Financial Risk and AFC

Topic: Non-Financial Risk

What non-financial risks are associated with AFC?

Correct Answer: Reputational damage, regulatory sanctions, and loss of license or business opportunities.

Key Insight: Non-financial risks can be **more severe** than financial penalties.

Q44: Reputational Risk and AFC

Topic: Reputational Risk

How does AFC impact reputational risk?

Correct Answer: AFC failures can cause significant reputational damage, leading to loss of customers, partners, and market confidence.

Key Insight: Reputational risk is a **top concern** for boards.

Q45: Onboarding Controls

Topic: Onboarding Controls

What controls should be applied at customer onboarding?

Correct Answer: CDD, identity verification, sanctions screening, PEP screening, and risk assessment.

Key Insight: Onboarding is the **critical first step** in AFC compliance.

Q46: Ongoing Monitoring Controls

Topic: Ongoing Monitoring

What controls should be applied throughout the customer lifecycle?

Correct Answer: Transaction monitoring, periodic reviews, trigger-based reviews, and ongoing sanctions/PEP screening.

Key Insight: Monitoring is **continuous**, not just at onboarding.

Q47: Trigger-Based Reviews

Topic: Trigger-Based Reviews

What triggers a customer review during the lifecycle?

Correct Answer: Significant changes in behavior, new risk factors, regulatory updates, or system alerts.

Key Insight: Trigger-based reviews are **event-driven**.

Q48: Exit Controls

Topic: Exit Controls

What controls should be applied when exiting a customer relationship?

Correct Answer: Consideration at the relevant committee, liaison with law enforcement and FIUs regarding keeping accounts open as needed, and appropriate documentation.

Key Insight: Exits should be **managed** and **escalated**.

Q49: KYC and CDD

Topic: KYC and CDD

What is the difference between KYC and CDD?

Correct Answer: KYC is the process of identifying the customer; CDD includes KYC plus ongoing monitoring and risk assessment.

Key Insight: CDD is a **broader** concept than KYC.

Q50: Enhanced Due Diligence

Topic: EDD

When is Enhanced Due Diligence (EDD) required?

Correct Answer: For high-risk customers, including PEPs, customers from high-risk jurisdictions, and those with complex ownership structures.

Key Insight: EDD is **mandatory** for PEPs under FATF Recommendation 12.

Q51: Employee Due Diligence

Topic: Employee Due Diligence

What is employee due diligence in the AFC context?

Correct Answer: Background checks on employees, particularly those in sensitive roles, to identify potential insider threats.

Key Insight: Insider threats are a significant **vulnerability**.

Q52: Customer Risk Assessment

Topic: Customer Risk Assessment

What factors should be considered in customer risk assessment?

Correct Answer: Customer type, geography, product usage, transaction patterns, and ownership structure.

Key Insight: Risk assessment is **dynamic** and should be updated.

Q53: Types of Risk Assessment

Topic: Types of Risk Assessment

What types of risk assessments are used in AFC?

Correct Answer: Enterprise-wide, business unit, product, geographic, customer, and transaction risk assessments.

Key Insight: Different assessments serve **different purposes**.

Q54: Inputs to Risk Assessment

Topic: Risk Assessment Inputs

What are inputs to a risk assessment?

Correct Answer: National risk assessments, sectoral risk assessments, regulatory guidance, internal data, and threat intelligence.

Key Insight: Inputs should be **diverse** and **current**.

Q55: Outputs of Risk Assessment

Topic: Risk Assessment Outputs

What are outputs of a risk assessment?

Correct Answer: Risk ratings, control recommendations, resource allocation decisions, and prioritization of activities.

Key Insight: Outputs should be **actionable**.

Q56: Managing AFC Risks

Topic: Managing Risks

How are AFC risks managed after assessment?

Correct Answer: Through controls, monitoring, and regular reassessment to ensure risks remain within appetite.

Key Insight: Risk management is a **continuous process**.

Q57: Conflict Zone Transactions

Topic: Conflict Zone Controls

What controls should be applied to transactions involving conflict zones?

Correct Answer: Enhanced due diligence, sanctions screening, transaction monitoring, and escalation for approval.

Key Insight: Conflict zones are **high-risk** jurisdictions.

Q58: Dual-Use Goods

Topic: Dual-Use Goods

What controls should be applied to dual-use goods transactions?

Correct Answer: Export control screening, end-use verification, and sanctions checks on parties.

Key Insight: Dual-use goods can be diverted for **military** purposes.

Q59: Complex Ownership Structures

Topic: Complex Ownership

What controls should be applied to complex ownership structures?

Correct Answer: Identification of beneficial owners, source of funds verification, and enhanced monitoring.

Key Insight: Complex structures are a **red flag** for ML.

Q60: PEP Controls

Topic: PEP Controls

What controls should be applied to PEPs?

Correct Answer: EDD, senior management approval, source of wealth verification, and ongoing monitoring.

Key Insight: PEP controls are **mandatory** under FATF.

Q61: Employee Due Diligence

Topic: Employee Due Diligence

Why is employee due diligence important in AFC?

Correct Answer: To mitigate insider threats and ensure employees in sensitive roles are trustworthy.

Key Insight: Insider threats are a **significant vulnerability**.

Q62: Vendor Due Diligence

Topic: Vendor Due Diligence

What due diligence should be conducted on vendors?

Correct Answer: Background checks, sanctions screening, and assessment of their AML controls.

Key Insight: Vendors can be a **weak link** in compliance.

Q63: Third-Party Due Diligence

Topic: Third-Party Due Diligence

What should third-party due diligence include?

Correct Answer: Assessment of the third party's AML program, sanctions screening, and contractual compliance obligations.

Key Insight: Third parties can be used to **bypass** controls.

Q64: Insider Threat Mitigation

Topic: Insider Threats

How can insider threats be mitigated?

Correct Answer: Background checks, access controls, monitoring, and employee training.

Key Insight: Access controls and monitoring are key controls.

Q65: Identifying Suspicious Activity

Topic: Identifying Suspicious Activity

How can suspicious activity be identified?

Correct Answer: Through transaction monitoring alerts, staff reports, customer complaints, and external sources.

Key Insight: Multiple channels are needed for detection.

Q66: Staff Reports of Suspicion

Topic: Staff Reports

Why are staff reports important in detection?

Correct Answer: Frontline staff may observe suspicious behavior that is not captured by automated systems.

Key Insight: Human observation is a **critical control**.

Q67: External Sources of Suspicion

Topic: External Sources

What external sources can indicate suspicious activity?

Correct Answer: Law enforcement notifications, regulatory alerts, and adverse media.

Key Insight: External sources provide **context** for alerts.

Q68: Information Gathering

Topic: Information Gathering

What information should be gathered during an investigation?

Correct Answer: Transaction details, customer profile, counterparty information, and source of funds.

Key Insight: Investigations should be **thorough** and **documentation-based**.

Q69: Investigation Documentation

Topic: Investigation Documentation

Why is investigation documentation important?

Correct Answer: To provide an audit trail, support decision-making, and demonstrate compliance.

Key Insight: Documentation should be **contemporaneous**.

Q70: Writing SARs

Topic: SAR Writing

What should a SAR include?

Correct Answer: Details of the suspicious activity, parties involved, amounts, and the basis for suspicion.

Key Insight: SARs should be **clear**, **concise**, and **complete**.

Q71: Internal Investigation Timelines

Topic: Investigation Timelines

What are typical internal investigation timelines?

Correct Answer: Investigations should be completed within regulatory deadlines (e.g., 30 days for SAR filing in many jurisdictions).

Key Insight: Timeliness is a regulatory expectation.

Q72: Escalation Triggers

Topic: Escalation

What triggers escalation of an investigation?

Correct Answer: Confirmed suspicion, significant risk, reputational concerns, or material thresholds.

Key Insight: Escalation should be **defined** in procedures.

Q73: Governance Escalation

Topic: Governance Escalation

How should investigations be escalated through governance?

Correct Answer: Through defined escalation paths to committees, senior management, and the board as appropriate.

Key Insight: Escalation paths should be **clear** and **documented**.

Q74: Decision-Making on Offboarding

Topic: Offboarding Decisions

What should be considered when offboarding a customer?

Correct Answer: Risk level, regulatory requirements, potential for de-risking, and liaison with law enforcement/FIUs.

Key Insight: Offboarding decisions should be **governed** and **documented**.

Q75: Offboarding Documentation

Topic: Offboarding Documentation

Why is offboarding documentation important?

Correct Answer: To demonstrate that offboarding was based on risk and not discriminatory.

Key Insight: Documentation protects against **regulatory scrutiny**.

Q76: FIU Liaison on Offboarding

Topic: FIU Liaison

When should institutions liaise with FIUs on offboarding?

Correct Answer: When there are ongoing investigations or law enforcement interest in the customer.

Key Insight: Coordinating with FIUs prevents **interference** with investigations.

Q77: Responding to Subpoenas

Topic: Subpoenas

How should institutions respond to subpoenas?

Correct Answer: Respond promptly within legal timelines, document the response, and ensure confidentiality.

Key Insight: Subpoenas are **legally binding** requests.

Q78: Law Enforcement Requests

Topic: Law Enforcement Requests

How should law enforcement requests be handled?

Correct Answer: Verify the request, document all communications, respond appropriately, and consult legal counsel if needed.

Key Insight: Documentation of all interactions is essential.

Q79: Section 314(a) Requests (US)

Topic: Section 314(a)

What is a Section 314(a) request?

Correct Answer: A FinCEN request to financial institutions to search records for information about individuals or entities involved in a money laundering investigation.

Key Insight: Response to 314(a) requests is **mandatory**.

Q80: Section 314(b) Sharing

Topic: Section 314(b)

What is Section 314(b) information sharing?

Correct Answer: Financial institutions sharing information with each other for AML purposes, subject to opt-in with FinCEN.

✗ **Common Trap:** "Sharing is automatic" INCORRECT. Institutions must **opt-in** before sharing.

Key Insight: Opt-in is required **before** sharing.

Q81: De-risking Definition

Topic: De-risking

What is de-risking in the AML context?

Correct Answer: The practice of terminating or restricting business relationships with entire categories of customers to avoid AML risk.

✗ **Common Trap:** "De-risking is recommended by regulators" INCORRECT. Regulators **discourage** indiscriminate de-risking.

Key Insight: FATF has issued guidance **discouraging** de-risking.

Q82: De-risking Consequences

Topic: De-risking Consequences

What are consequences of de-risking?

Correct Answer: Financial exclusion, push to unregulated channels, and reputational damage.

Key Insight: De-risking can **undermine** financial inclusion.

Q83: Financial Inclusion and AML

Topic: Financial Inclusion

How can financial inclusion be balanced with AML requirements?

Correct Answer: By applying proportionate controls and using simplified due diligence for lower-risk customers.

Key Insight: Proportionality enables **both** inclusion and compliance.

Q84: Alternative Verification Methods

Topic: Alternative Verification

What alternative verification methods support inclusion?

Correct Answer: Biometrics, digital identity systems, and community-based verification.

Key Insight: Technology can bridge the inclusion gap.

Q85: Customer Communication

Topic: Customer Communication

How should institutions communicate with customers about AML requirements?

Correct Answer: Through established channels, clear explanations of requirements, and RFIs for additional information.

Key Insight: Communication should be **professional** and **respectful**.

Q86: Requests for Information (RFIs)

Topic: RFIs

What is an RFI in the AML context?

Correct Answer: A request to a customer for additional information to satisfy CDD/EDD requirements.

Key Insight: RFIs should be **clear** and **justified**.

Q87: Tipping-Off Consequences

Topic: Tipping-Off

What is tipping-off and what are its consequences?

Correct Answer: Tipping-off is informing a subject that they are under investigation. It is a criminal offense in many jurisdictions.

Key Insight: Tipping-off can **destroy** an investigation.

Q88: Raising Customer Awareness

Topic: Raising Awareness

How can institutions raise awareness of AML obligations among customers?

Correct Answer: Through onboarding communications, periodic notices, and online resources.

Key Insight: Educated customers are **more cooperative**.

Q89: AML Training Requirements

Topic: AML Training

What are the AML training requirements for staff?

Correct Answer: Role-based training, regular refresher training, and updates on regulatory changes.

Key Insight: Training should be **continuous**, not a one-time event.

Q90: Role-Based Training

Topic: Role-Based Training

Why is role-based training important?

Correct Answer: Different employees need different knowledge based on their roles and exposure to risks.

Key Insight: Frontline staff need different training than investigators.

Q91: Training Effectiveness

Topic: Training Effectiveness

How is training effectiveness measured?

Correct Answer: Through assessments, employee feedback, and observation of application in the workplace.

Key Insight: Effectiveness is measured by **application**, not just completion.

Q92: Raising Staff Awareness

Topic: Staff Awareness

How can staff awareness of AML risks be raised?

Correct Answer: Through regular training, communications, and sharing of typologies and case studies.

Key Insight: Awareness is the **foundation** of detection.

Q93: AFC Team Structure

Topic: AFC Team Structure

What is the typical structure of an AFC team?

Correct Answer: MLRO/BSA Officer, compliance officers, investigators, analysts, and support staff.

Key Insight: Structure depends on the **institution's size** and **complexity**.

Q94: MLRO/BSA Officer Role

Topic: MLRO/BSA Officer

What is the role of the MLRO/BSA Officer?

Correct Answer: Designated individual responsible for oversight of the AML program, filing SARs, and acting as the point of contact for regulators.

Key Insight: The MLRO must have access to the board.

Q95: AFC Investigator Role

Topic: Investigator Role

What is the role of an AFC investigator?

Correct Answer: Investigating alerts, gathering information, documenting findings, and recommending SAR filing.

Key Insight: Investigators are the **core** of the AFC function.

Q96: Team Competencies

Topic: Team Competencies

What competencies are needed in an AFC team?

Correct Answer: Regulatory knowledge, analytical skills, investigation experience, and communication skills.

Key Insight: Diverse skills are needed for effective team performance.

Q97: AFC and Front Office Interaction

Topic: AFC and Front Office

How should AFC professionals interact with the front office?

Correct Answer: Collaboratively, with clear roles, escalation paths, and mutual respect for each other's responsibilities.

Key Insight: Collaboration is essential for effective compliance.

Q98: Relationship Manager Role

Topic: Relationship Managers

What is the role of relationship managers in AFC?

Correct Answer: Identify suspicious activity, escalate concerns, and support the AFC team in investigations.

Key Insight: Relationship managers are the **eyes and ears** of AFC.

Q99: Escalation from Front Office

Topic: Front Office Escalation

When should the front office escalate to AFC?

Correct Answer: When they observe unusual activity, have concerns about a customer, or need guidance on AML requirements.

Key Insight: Escalation should be **encouraged**, not discouraged.

Q100: Front Office Training

Topic: Front Office Training

What training should be provided to the front office?

Correct Answer: Identification of red flags, escalation procedures, and confidentiality obligations.

Key Insight: Front office staff need **practical** training.

Topic: Data Privacy

How does data privacy support the AFC program?

Correct Answer: Ensures data is collected and processed in compliance with privacy laws, protecting the institution from legal risk.

Key Insight: Data privacy and AFC are **interconnected**.

Q102: Cybersecurity and AFC

Topic: Cybersecurity

How does cybersecurity support the AFC program?

Correct Answer: Protects AFC data and systems from cyber threats and provides intelligence on cyber-enabled financial crime.

Key Insight: Cybersecurity and AFC have **overlapping** risks.

Q103: Risk Management Functions

Topic: Risk Management

How do other risk management functions support AFC?

Correct Answer: Through integrated risk assessments, shared intelligence, and coordinated responses.

Key Insight: Risk management functions should be **integrated**.

Q104: Integrated AFC Program

Topic: Integrated Program

What makes an integrated AFC program robust?

Correct Answer: Collaboration across functions, shared risk intelligence, and coordinated controls.

Key Insight: Integration **strengthens** the overall program.

SUMMARY: Key Principles Domain C

Building an Anti-Financial Crime Compliance Program:

Concept	Application
Five Pillars	Internal controls, compliance officer, training, testing, CDD
Three Lines of Defense	First: Operations; Second: Compliance; Third: Audit
Risk Appetite Statement	Defines risk tolerance; guides decisions
Enterprise Risk Assessment	Inherent risk; controls; residual risk
Risk-Based Approach	Proportional controls; resource allocation
Policies/Standards/Procedures	What; must; how
Horizon Scanning	Identifying emerging risks
Governing Committees	Oversight; decision-making
KPIs/KRIs	Performance; risk indicators
Reporting Requirements	SARs; CTRs; jurisdictional differences
Operational/Financial/Non-Financial Risk	AFC failure impacts all
Onboarding/Lifecycle Controls	CDD; EDD; monitoring; exit controls
High-Risk Scenarios	Conflict zones; dual-use; PEPs; complex structures
Other Due Diligence	Employees; vendors; third parties
Investigations	Documentation; SAR writing; escalation
Offboarding	Governance; FIU liaison; documentation
Court Orders/Law Enforcement	Subpoenas; 314(a); 314(b)
De-risking vs Inclusion	Discouraged; use proportionate controls
Tipping-Off	Criminal offense; don't alert subjects
Training	Role-based; continuous; effective
AFC Team	MLRO; investigators; analysts
Front Office	Eyes and ears; escalation
Supporting Functions	Data privacy; cybersecurity; risk management

FINAL LESSON: Domain C tests understanding of **how to build and run** an AFC program from governance to operations to reporting. Understand the *structure* and the *answers* become obvious.

Common Traps to Avoid:

- ▶ **Five Pillars:** Remember the **5th pillar** (CDD) added in 2016.
- ▶ **Three Lines:** First = **Operations**; Second = **Compliance**; Third = **Audit**.
- ▶ **Audit Independence:** Audit **cannot** design controls it tests.
- ▶ **Risk-Based Approach:** Not less compliance **targeted** compliance.
- ▶ **De-risking:** **Discouraged** by regulators.
- ▶ **Tipping-Off:** **Criminal offense** in many jurisdictions.
- ▶ **314(b):** **Opt-in required** before sharing.
- ▶ **Policies vs Procedures:** Policies = "what"; Procedures = "how".
- ▶ **MLRO/BSA Officer:** Must have **board access**.
- ▶ **EDD for PEPs:** **Mandatory**, not optional.

Key Insight: Focus on understanding the *structure* and *governance* of an AFC program.

Thank You

Keep learning. Keep growing.

Building an effective AFC program requires governance, controls, and continuous improvement. End of Domain C

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